STATISTICS & MACHINE LEARNING · LESSON 3 OF 28

Sampling, the Central Limit Theorem and Confidence Intervals

Learn how a sample tells us about a population. Population vs sample, sampling methods and biases, sampling distributions and standard error, the Central Limit Theorem by simulation, confidence intervals for means and proportions (z, t and bootstrap), and how to choose a sample size.

● Python classes 14–15 · ML class 1 ✦ SciPy 1.1x · statsmodels 0.1x Intermediate ⏱ 110 min

By the end of this lesson you can

- Distinguish population and sample, parameter and statistic, and name common sampling methods and biases
- Explain sampling distributions and standard error
- Demonstrate the Central Limit Theorem by simulation and state when it applies
- Compute and interpret confidence intervals for a mean and a proportion, including the bootstrap
- Estimate the sample size needed for a target margin of error

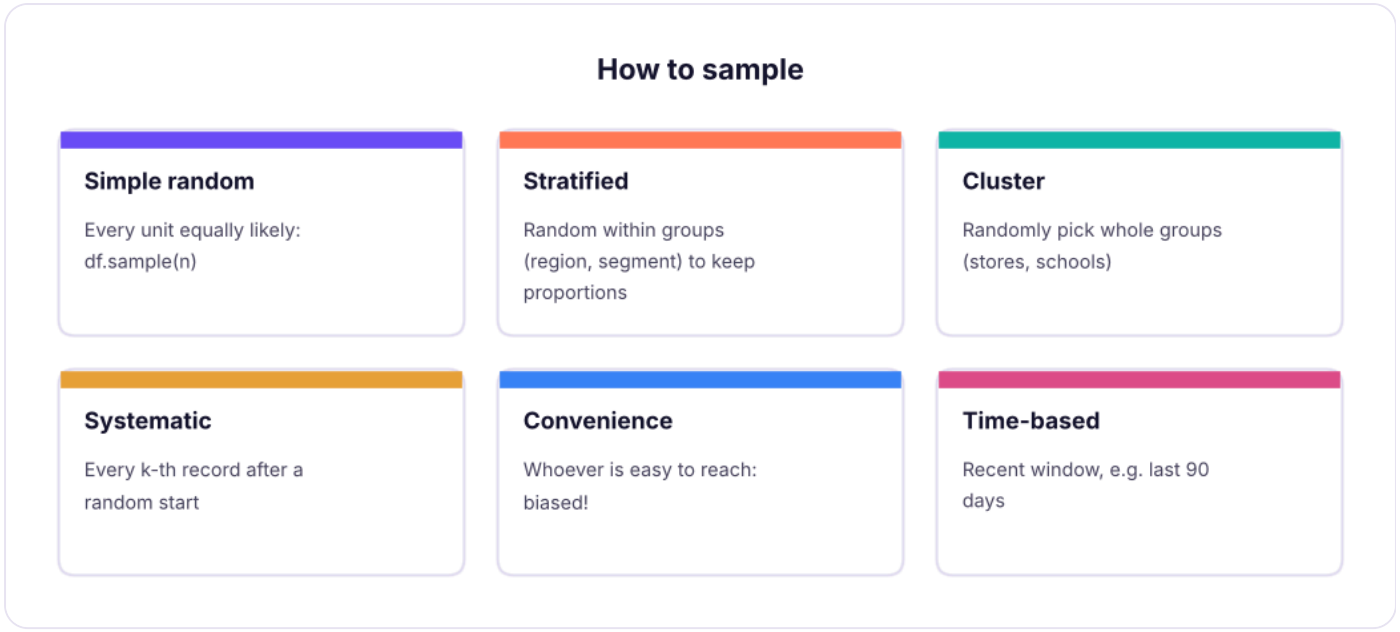
Datasets used

`hr_employees.csv` `ab_test.csv`

Population and sample

Term	Population	Sample
What	Everyone/everything of interest	The part you observe
Summary	**Parameter** (μ, σ, p)	**Statistic** ($\bar{x}$, s, $\hat{p}$)
Example	All 1,500 employees	100 surveyed employees

We almost never see the population (all customers, all future orders), so we estimate parameters from samples and state our **uncertainty**.



Sampling methods.

Python

```python
import pandas as pd, numpy as np
from scipy import stats
hr = pd.read_csv("hr_employees.csv")
pop_mean, pop_rate = hr.monthly_income.mean(), (hr.attrition == "Yes").mean()
print(f"population: mean income {pop_mean:,.0f}, attrition {pop_rate:.1%}, N = {len(hr)}")
srs = hr.sample(150, random_state=1)
strat = hr.groupby("department", group_keys=False).sample(frac=0.1, random_state=1)     # stratified 10%
print(f"simple random n=150: mean {srs.monthly_income.mean():,.0f}, attrition {(srs.attrition == 'Yes').mean():.1%}")
print(f"stratified n={len(strat)}: mean {strat.monthly_income.mean():,.0f}; department shares kept:",
      (strat.department.value_counts(normalize=True) - hr.department.value_counts(normalize=True)).abs().max().round(3) < 0.01)
```

OUTPUT

```
population: mean income 82,611, attrition 25.9%, N = 1500
simple random n=150: mean 85,587, attrition 21.3%
stratified n=149: mean 81,315; department shares kept: True
```

WATCH OUT **Sampling bias beats sample size**

A huge biased sample is worse than a small random one. Watch for **selection bias** (only app users surveyed), **non-response bias** (unhappy customers ignore surveys), **survivorship bias** (studying only companies that still exist) and **time bias** (a festive week is not a normal week).

Sampling distributions and standard error

Take many samples and compute the mean of each: those means form the **sampling distribution**. Its standard deviation is the **standard error (SE)**.

$$SE(\bar{x}) = \frac{\sigma}{\sqrt{n}} \qquad SE(\hat{p}) = \sqrt{\frac{p(1-p)}{n}}$$

Python

```
rng = np.random.default_rng(0)
inc = hr.monthly_income.to_numpy()
for n in (10, 40, 160, 640):
    means = [rng.choice(inc, n).mean() for _ in range(3000)]
    print(f"n={n:4d}: sd of sample means {np.std(means):7,.0f} | formula σ/√n {inc.std() /
np.sqrt(n):7,.0f}")
```

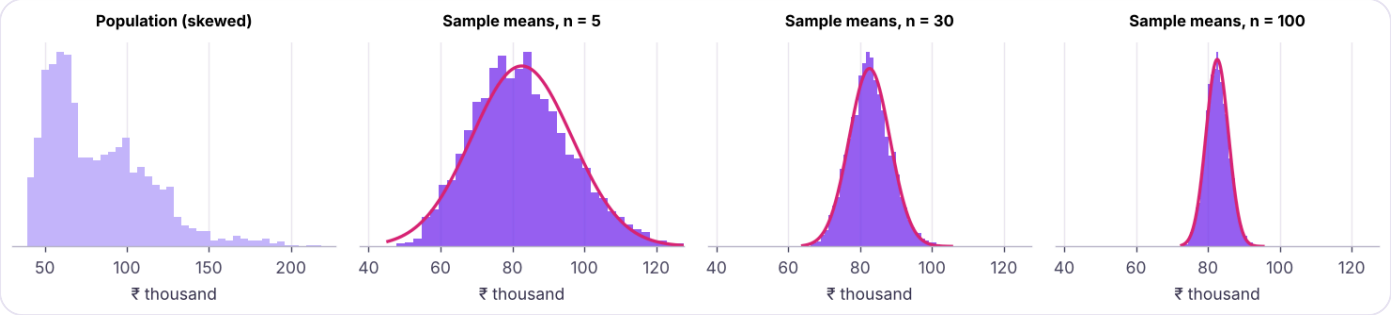
OUTPUT

```
n=  10: sd of sample means   9,854 | formula σ/√n   9,846
n=  40: sd of sample means   4,970 | formula σ/√n   4,923
n= 160: sd of sample means   2,492 | formula σ/√n   2,461
n= 640: sd of sample means   1,232 | formula σ/√n   1,231
```

Quadrupling the sample size halves the standard error: precision grows with √n, so doubling precision costs four times the data.

The Central Limit Theorem

CLT: for a large enough sample (rule of thumb n ≥ 30, more for very skewed data), the sampling distribution of the mean is approximately **normal**, whatever the shape of the population, with mean μ and SE σ/√n.



Income is right-skewed (left), yet the means of samples of 5, 30 and 100 employees become ever more normal and narrow.

The CLT is why z- and t-tests, confidence intervals and A/B tests work on non-normal business data such as revenue.

Confidence intervals

A **95% confidence interval** is a range built by a method that captures the true parameter in 95% of repeated samples.

$$\bar{x} \pm t_{\alpha/2,\, n-1} \frac{s}{\sqrt{n}} \qquad \hat{p} \pm z_{\alpha/2} \sqrt{\frac{\hat{p}(1-\hat{p})}{n}}$$

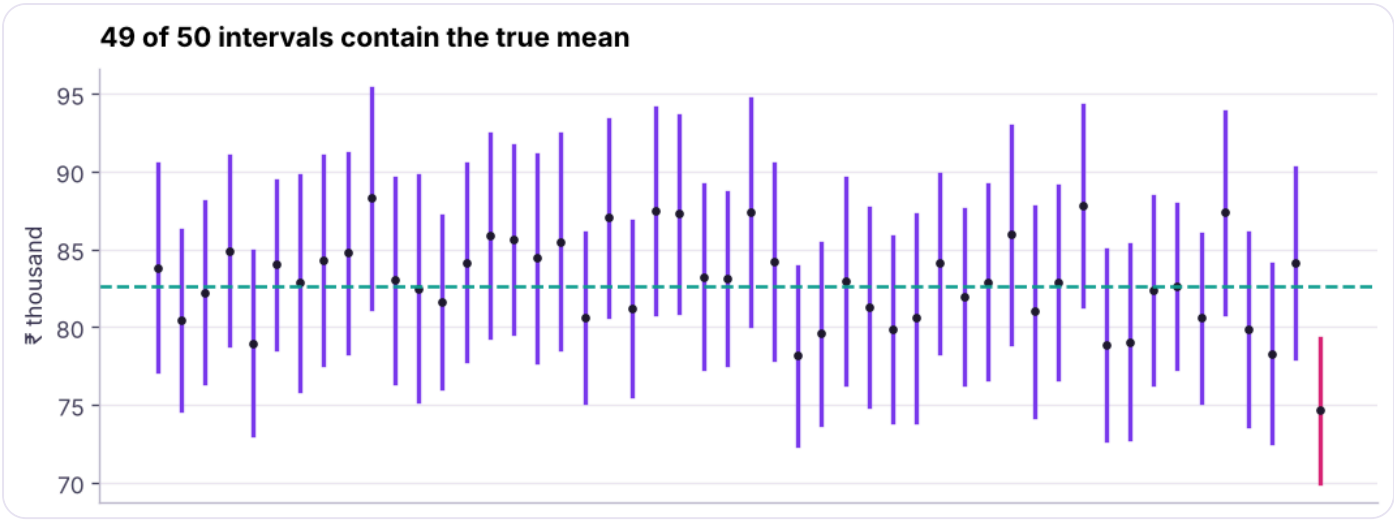
Python

```
sample = hr.sample(100, random_state=3)
x = sample.monthly_income
se = x.std() / np.sqrt(len(x)); tcrit = stats.t.ppf(0.975, df=len(x) - 1)
lo, hi = x.mean() - tcrit * se, x.mean() + tcrit * se
print(f"mean {x.mean():,.0f} | 95% CI {lo:,.0f} to {hi:,.0f} | t* = {tcrit:.3f} | true mean
{pop_mean:,.0f} inside? {lo ⩽ pop_mean ⩽ hi}")
print("scipy:", [round(v) for v in stats.t.interval(0.95, len(x) - 1, loc=x.mean(),
scale=se)])
k = (sample.attrition == "Yes").sum(); n = len(sample); ph = k / n
z = stats.norm.ppf(0.975)
print(f"attrition p̂ = {ph:.2f}, 95% CI (Wald) {ph - z * np.sqrt(ph * (1 - ph) / n):.3f} to
{ph + z * np.sqrt(ph * (1 - ph) / n):.3f}")
from statsmodels.stats.proportion import proportion_confint
print("Wilson CI (better for small n or extreme p):", [round(v, 3) for v in
proportion_confint(k, n, method="wilson")])
```

OUTPUT

```
mean 82,653 | 95% CI 77,094 to 88,213 | t* = 1.984 | true mean 82,611 inside? True
scipy: [77094, 88213]
```

```
attrition p̂ = 0.32, 95% CI (Wald) 0.229 to 0.411
Wilson CI (better for small n or extreme p): [0.237, 0.417]
```



50 samples of 100 employees, each with its 95% CI. Most intervals (purple) contain the true mean; about 1 in 20 (pink) misses.

NOTE **What a 95% CI does not mean**

It does **not** mean "there is a 95% probability that the true value is in this particular interval": the true value is fixed. It means the *procedure* captures the true value 95% of the time. In practice, say "we are 95% confident the average income is between … and …".

Wider interval when…	Narrower when…
Higher confidence (99% vs 95%)	Larger sample size
More variable data	Less variable data
Smaller sample	Lower confidence (90%)

Bootstrap confidence intervals

When there is no simple formula (median, ratios, percentiles), **resample the sample with replacement** many times and take percentiles of the statistic.

Python

```
boot = np.array([rng.choice(x.to_numpy(), len(x), replace=True) for _ in range(5000)])
med = np.median(boot, axis=1)
print(f"sample median {x.median():,.0f} | 95% bootstrap CI {np.percentile(med, 2.5):,.0f}
to {np.percentile(med, 97.5):,.0f}")
res = stats.bootstrap((x.to_numpy(),), np.median, confidence_level=0.95, n_resamples=5000,
random_state=0, method="percentile")
print("scipy.stats.bootstrap:", [round(v) for v in (res.confidence_interval.low,
res.confidence_interval.high)])
```

OUTPUT

```
sample median 82,666 | 95% bootstrap CI 68,750 to 90,542
scipy.stats.bootstrap: [68746, 89750]
```

Sample size planning

Required n for a margin of error E (half-width of the CI):

$$n = \left(\frac{z\sigma}{E}\right)^2 \qquad\qquad n = \frac{z^2\,p(1-p)}{E^2}$$

Python

```
def n_for_mean(sigma, E, conf=0.95): return int(np.ceil((stats.norm.ppf(1 - (1 - conf) / 2)
* sigma / E) ** 2))
def n_for_prop(E, p=0.5, conf=0.95): return int(np.ceil(stats.norm.ppf(1 - (1 - conf) / 2)
** 2 * p * (1 - p) / E ** 2))
print("income within ±₹5,000:", n_for_mean(inc.std(), 5000), "employees | ±₹2,000:",
n_for_mean(inc.std(), 2000))
print("survey proportion within ±5 points:", n_for_prop(0.05), "| ±3 points:",
n_for_prop(0.03), "| ±1 point:", n_for_prop(0.01))
```

OUTPUT

```
income within ±₹5,000: 149 employees | ±₹2,000: 931
survey proportion within ±5 points: 385 | ±3 points: 1068 | ±1 point: 9604
```

This is why opinion polls survey about 1,000 people (±3 points) and why A/B tests on small effects need tens of thousands of users (lesson 6).

Summary

KEY TAKEAWAYS

- Parameters describe populations; statistics estimate them from samples. Random (and stratified) sampling avoids bias; size cannot fix bias.
- The standard error σ/√n measures how much a statistic varies from sample to sample.
- The CLT makes sample means approximately normal for large n, whatever the population shape.
- CI for a mean: $\bar{x} \pm t \cdot s/\sqrt{n}$; *for a proportion:* $\hat{p} \pm z \cdot \sqrt{\hat{p}(1-\hat{p})/n}$ (Wilson for small samples); bootstrap for anything else.
- Plan sample size from the margin of error: halving the error needs four times the data.

Quick quiz

6 questions · tap an answer to check it

1. What happens to the standard error when the sample size quadruples?

A It quadruples

B It doubles

C It halves

D It stays the same

Answer: C. SE ∝ 1/√n.

2. What does the Central Limit Theorem say?

A All data are normal

B Sample means are approximately normal for large samples, whatever the population shape

C Samples must be normal

D Means equal medians

Answer: B. It underpins most tests on business data.

3. A 95% CI for mean spend is ₹820–₹910. Best interpretation?

A We are 95% confident the true mean spend lies between ₹820 and ₹910 (the method captures the truth 95% of the time)

B 95% of customers spend between ₹820 and ₹910

C The mean is 865 with certainty

D There is a 5% chance the sample is wrong

Answer: A. A CI is about the parameter, not individual values.

4. Which makes a confidence interval narrower?

A Higher confidence level

B Larger sample

C More variable data

D Smaller sample

Answer: B. More data, more precision.

5. How do you get a CI for a median without a formula?

A Use the z-table

B Bootstrap: resample with replacement and take percentiles

C Use the mean instead

D It is impossible

Answer: B. Works for almost any statistic.

6. Which bias occurs when only active app users answer a satisfaction survey?

A Selection bias

B Rounding bias

C Recall bias only

D No bias

Answer: A. The sample does not represent all customers.

EXERCISE

Practice

(1) From `ab_test.csv`, compute a 95% CI for the conversion rate of each group. Do they overlap? (2) Bootstrap a 95% CI for the difference in mean order value between groups. (3) How many users per group would you need to estimate a conversion rate within ±1 point?

Show solution (worked answer)

Python

```
ab = pd.read_csv("ab_test.csv")
for g, d in ab.groupby("group"): print(g, [round(v, 4) for v in
proportion_confint(d.converted.sum(), len(d), method="wilson")])
a, b = ab[ab.group == "A_control"].order_value.to_numpy(), ab[ab.group ==
"B_new_checkout"].order_value.to_numpy()
diffs = [rng.choice(b, len(b)).mean() - rng.choice(a, len(a)).mean() for _ in
range(3000)]
print(np.percentile(diffs, [2.5, 97.5]))
print(n_for_prop(0.01, p=0.12))
```

INTERVIEW CORNER

Questions you may be asked

Q: Explain the Central Limit Theorem to a non-technical manager. If we average enough randomly chosen customers, those averages behave predictably (a bell curve) even when individual spending is wildly uneven, so we can say how confident we are in an average.

Q: What is the difference between standard deviation and standard error? Standard deviation measures spread of individual values; standard error measures spread of a statistic (like the mean) across samples: SE = sd/√n.

Q: How would you choose a sample size for a survey? Decide the margin of error and confidence level, estimate variability (use p = 0.5 for proportions if unknown), compute n, then inflate for expected non-response.

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